

21SMCV00756 21SMCV00756

County: los-angeles

Division: Civil Law and Motion

Department: M

Hearing date: 2026-07-09

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Case Number: 21SMCV00756 Hearing Date: July 9, 2026 Dept: M

CASE NAME: Sunrise

Projects LLC, et al., v. Allstar Financial, et al.

CASE NO.: 21SMCV00756

MOTION: Motion for Enforcement of Injunction Bond (CCP § 996.440)

HEARING DATE: 7/9/2026

Legal

Standard

When an injunction is granted, the applicant for the injunction must provide an undertaking that they will pay any damages that the enjoined party may sustain as a result of the injunction. (CCP § 529(a); ABBA Rubber Co. v. Seaquist (1991) 235 Cal.App.3d 1, 10.) “The undertaking is designed to compensate the defendants in the event, however unlikely, that the preliminary injunction is finally determined to have been unjustified.” (Top Cat Productions, Inc. v. Michael's Los Feliz (2002) 102 Cal.4th 474, 478.) Recovery on the bond is limited to reasonably foreseeable harm proximately caused by the wrongfully issued injunction. (ABBA, supra, 235 Cal.App.3d at 14.)

Liability on a bond may be enforced

by a separate civil action per CCP § 996.430, or by written motion per CCP § 996.440. Section 996.440 provides that “[i]f a bond is given in an action or proceeding, the liability on the bond may be enforced on motion made in the court without the necessity of an independent action.” (CCP § 996.440(a).) Such

a motion "shall not be made until after entry of the final judgment in the action or proceeding in which the bond is given and the time for appeal has expired or, if an appeal is taken, until the appeal is finally determined" and "shall not be made or notice of motion served more than one year after the later of the preceding dates." (CCP § 996.440(b).) "Judgment shall be entered against the principal and sureties in accordance with the motion unless the principal or sureties serve and file affidavits in opposition to the motion showing such facts as may be deemed by the judge hearing the motion sufficient to present a triable issue of fact. If such a showing is made, the issues to be tried shall be specified by the court. Trial shall be by the court and shall be set for the earliest date convenient to the court, allowing sufficient time for such discovery proceedings as may be requested." (CCP § 996.440 (d).) Unlike a motion for summary judgment, the party defending the bond must show that there are triable issues of fact. (Grade-Way Construction Co. v. Golden Eagle Ins. (1993) 13 Cal.App.4th 826, 837.)

ANALYSIS

Defendant Allstar Financial

Services, Inc. moves for an order for judgment against Hartford Fire Insurance Company ("Hartford"), as surety, and Plaintiff Sunrise Projects, LLC in the sum of \$250,000.00.

Plaintiff's objection nos. 3-5 to the Haberstroh declaration are SUSTAINED, and OVERRULED as to the remainder. Defendant's objections are OVERRULED.

Defendant

may recover from the bond. Defendant successfully dissolved the injunction through success on the merits of Plaintiff's action against it. The judgment necessarily decided that the injunction was improvidently issued, since the judgment determined that Plaintiff was not an eligible bidder pursuant to Civil Code § 2924m(a)(3)(F) and accordingly dissolved the injunction.

Defendant demonstrates that it has

incurred more than \$250,000.00 in attorneys' fees in connection with dissolving the injunction. Reasonable counsel fees and expenses incurred in successfully procuring a final decision dissolving the injunction are recoverable as damages to the extent that those fees are for services that relate to dissolution. (Russell v. United Pac. Ins. Co. (1963) 214 Cal. App. 2d 78, 88.) Thus, Defendant may

recover reasonable attorney's fees attributable to defending against the cause of action on which the issuance of the preliminary injunction had been based. Additionally, the determination of what constitutes reasonable attorney fees is committed to the discretion of the trial court. (Melnik v. Robledo (1976) 64 Cal.App.3d 618, 623 624.) The fee inquiry "begins with the 'lodestar' [method], i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate." (Graciano v. Robinson Ford Sales, Inc. (2006) 144 Cal.App.4th 140, 154.) "[A] computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys' fee award." (Margolin v. Reg'l Planning Comm'n (1982) 134 Cal.App.3d 999, 1004.) In challenging attorney fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. (Premier Medical Management Systems, Inc. v. California Ins. Guaranty Assoc. (2008) 163 Cal.App.4th 550, 564.) General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice. (Ibid.)

Defendant submits that it incurred \$609,841.50 in attorneys' fees, providing verified time records of all fees incurred. (Haberstroh Decl., ¶ 5, Exs. 1-2; Goldstein Decl., ¶¶ 10-25, Ex. I.) Examining the full record, the total request for attorneys' fees may not be recoverable from the bond, since the entirety of those fees were not incurred in connection with dissolving the injunction. However, in reply, Defendant demonstrates that the initial affidavits submitted support at least \$441,516.50 in fees directly attributed to the defense of the Sunrise action, and therefore, the dissolution of the injunction. (Reply at 11-12.) Defendant may also recover \$30,192.24 in established costs incurred in connection with defending this action. Additionally, Defendant shows entitlement to recover a \$500.00 invoice for weed abatement at the Property on June 1, 2023. (Haberstroh Decl., ¶ 6, Ex. 4.) Plaintiff submits no disputes of material fact concerning recovery of such fees. At best, Plaintiff submits a generic argument that not all of the fees are recoverable. The Court recognizes this fact. However, Plaintiff fails to present any evidence or argument that the value of the fees incurred in connection with dissolution of the injunction could ever reasonably fall below \$250,000.00. Therefore, there are no triable issues of fact.

Accordingly, the motion is GRANTED.